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Global Macro Commentary | Global

October 13: Looking for a Rebound

Rebound rally in equity markets amid bond market holidays as US signals paths to avert tariff implementation; AxJ rates rally with currencies range-bound amid constructive trade developments in the broader region; Korea verbal FX intervention; DXY at 99.27 (+0.3%); US 10y at 4.034 (unch).

With bond market holidays in the US and Japan, global risk sentiment recovers after the US administration conveys openness to potential trade discussions with China.

- **Statements from the US administration over the weekend struck a more conciliatory tone towards China than market participants expected on Friday.** On social media, President Trump [said](#), "Don't worry about China, it will be all fine," emphasizing that neither country wants the economic repercussions of a potential trade escalation. US Trade Representative Greer [said](#) that although a phone call had not yet taken place, President Trump could still meet with President Xi at the APEC Summit ahead of the November 1 implementation date for US tariffs — a sentiment [affirmed](#) by Treasury Secretary Bessent on Monday. Bessent believes that the "meeting will still be on," with the idea being "to give them time to meet and work this out."
- **We believe the most likely outcome of the current US-China trade tensions is another limited agreement largely marking a return to the recent détente.** From there, the countries may need to regularly negotiate and reaffirm agreements, as a long-term arrangement remains elusive. With tactical trade escalation an increasingly likely prospect through the end of October, we anticipate that investors will reduce risk, potentially shifting expectations for a stronger USD in the near term. For more, see [US-China: Tactical Escalation](#).
- **The S&P 500 rebounds (+1.6%) amid a bond market holiday, led by equity sectors exposed to trade with China such as IT (+2.5%) and Consumer Discretionary (+2.3%).** The dip-buying action on Friday's sell-off supports our strategists' [view](#) that risk markets have grown more resilient to perceived trade policy risks, despite US trade barriers still rising in the aggregate with new sectoral tariffs taking effect Tuesday on lumber and furniture, as well as [port fees](#) on Chinese-made freight vessels. European equities also see a modest recovery (Euro Stoxx 50: +0.7%).
- **European rates cautiously extend Friday's rally, mostly led by the front end (2y Bund: -2bp; 30y: -0bp), with the OAT-Bund spread largely unchanged following the reappointment of French Prime Minister Lecornu.** Lecornu will present his budget plan to the National Assembly

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tomorrow, and French opposition parties are [expected](#) to call another no-confidence vote as early as this week, which could potentially lead to snap elections. Our economists highlight Tuesday's budget plan and pension reform proposals as key factors that could determine the outcome of another confidence vote.

- **The dollar (DXY: +0.3%) and risk-sensitive currencies (AUD/USD: +0.6%; NZD/USD: +0.1%) retrace some of Friday's weakness.** As risk sentiment recovers, safe-haven currencies give back gains (EUR/USD: -0.4%; USD/CHF: +0.6%; USD/JPY: +0.8%), though gold extends its rally (+2.3%). NOK outperforms (USD/NOK: -0.3%) as oil prices recover (+1.1%) alongside growth expectations.

In the first Asia session since Friday's US tariff announcements, AxJ rates rally broadly in line with Friday's move in US Treasuries, while local currencies trade range-bound amid a bond market holiday in Japan.

- **In China, CNH strengthens 0.1% against USD after the easing of US trade rhetoric over the weekend,** as well as a lower-than-expected USD/CNY fixing at 7.1007, the lowest since November 2024. The curve bull-flattens (5y CNY NDIRS: -2bp) as equities weaken (CSI 300: -0.5%). Meanwhile, TWD weakens 0.4% against USD as Taiwanese equities weaken (TAIEX: -1.4%) amid proposed export controls, with foreign investors selling \$1.7bn total of local equities.
- **KRW and INR see intraday moves that largely retrace on the back of trade developments between their respective countries and the US.** KRW also weakens as much as 0.4% to 1,432 per USD before retracing to finish the Asia session largely unchanged after government and BoK officials conduct verbal FX interventions, [saying](#) they are watching for one-sided moves in the currency. The move is supported by signs of progress in US-Korea trade negotiations as policymakers [discuss](#) a new proposal from the US to implement Korea's \$350bn US investment commitment. In India, USD/INR retraces gains to close largely unchanged after the government [conveys](#) a constructive tone on US trade. Indian rates rally (10y IGB: -2bp) ahead of tomorrow's September CPI release.
- **In Southeast Asia, USD/MYR strengthens 0.1% to 4.23 despite Malaysia's Second Finance Minister [expecting](#) MYR to strengthen to "just below" 4 per USD in a year.** In Thailand, THB strengthens 0.5% in line with the rally in gold prices.

Central Bank Monitor

Developed Markets

- **Philadelphia Fed President Paulson [said](#)** she favors two more 25bp Fed cuts this year because labor market risks are rising, and tariffs appear unlikely to cause as much inflation as previously expected. Paulson will be a voting FOMC member next year.

Emerging Markets

- In **Korea, BoK** and the Finance Ministry jointly **noted** that “FX authorities are closely monitoring the market with caution over potential one-sided movements, as KRW’s volatility has increased recently due to both domestic and external factors”
- In the **Philippines, BSP Governor Remolona said** that demonetizing higher-value PHP bills is an inconvenient process, noting that other countries have had negative experiences with similar measures. He added that the central bank’s recent move to cap daily cash withdrawals at PHP 500,000 have proven “very effective” so far
- In **China, the PBoC and the Monetary Authority of Macau signed** an MoU to strengthen collaboration on cross-border payment connectivity and efficiency

The Day Ahead

Developed Markets

- Tue 8:50am JST - **Japan September Money Stock (M2)** (MSe: 1.3% y/y; P: 1.3%)
- 10:00am BST - **Germany October ZEW Survey Expectations** (MSe: 45.2; C: 41.6; P: 37.3)
- 4:30pm BST - **ECB Governing Council member Makhoul** will speak in Washington
- 4:40pm BST - **ECB Governing Council member Kocher** will speak in New York
- 5:15pm BST - **ECB Governing Council member Villeroy** will speak in New York
- 6:00am EST - **US September NFIB Small Business Optimism** (C: 100.6; P: 100.8)
- 8:45am EST - **Fed Vice Chair for Supervision Bowman** will speak
- 11:30am EST - **Fed Chair Powell** will speak at the National Association for Business Economics (NABE). Small business optimism has slipped from its post-election highs but remains well above last year. The pattern in small business confidence suggests responsiveness to politics, as it rose sharply around the election. At 100.8 in August, the index was up slightly from 97.7 on average in 2Q. Recent swings were led by assessments of economic conditions, with less variability in measures that focus more on current conditions.
- 3:25pm EST - **Fed Governor Waller** will speak about payments
- 3:30 pm EST - **Boston Fed President Collins** will speak

Emerging Markets

- Tue 8:00am HKT - **Singapore October Monetary Policy Statement & 3Q25 Advance GDP** (MSe: 1.8% y/y; C: 2.0%; P: 4.4%). Our economists expect the MAS to keep all of its policy parameters unchanged
- 2:30pm HKT - **India September WPI** (MSe: 0.3% y/y; C: 0.4%; P: 0.5%). Our economists expect WPI to soften y/y as well as sequentially due to food and

fuel price declines, despite higher global commodity prices

- 3:00pm EST - **Argentina September CPI** (C: 2.1%; P: 1.9%)

Economic Releases

Emerging Markets

- **Korea First 10 days of October Exports:** -15.2% y/y (P: 3.8%) & **Imports:** -22.8% y/y (P: 11.1%)
- **China September Trade Balance:** \$90.5bn (MSe: \$97.9bn; C: \$98.1bn; P: \$102.3bn); **Exports:** 8.3% y/y (MSe: 6.0%; C: 6.6%; P: 4.4%) & **Imports:** 7.4% y/y (MSe: 1.0%; C: 1.8%; P: 1.3%). Our economists attribute strong trade headlines largely to base effect and more working days in September 2025 versus September 2024
- **India September Headline CPI:** 1.5% y/y (MSe: 1.6%; C: 1.5%; P: 2.1%)

For more details, please refer to our economists' weekly reports and data previews:

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- Argentina: [Post-Election Scenarios - Thinking Through Options](#)
- G10 FX Strategy: [Modest Long DXY Positions](#)

G4 Smarter (Beta) Trading Partners

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Since 2000, enhancements to a G4 10y government bond futures momentum strategy have produced higher Sharpe ratios and stronger returns relative to total return government bond indices for the G4: US, Germany, Japan, and the UK. See [A "Smarter" \(Beta\) Way to Trade G4 10y Futures Duration?](#) for more information on these strategies.

Exhibit 1: Trading Signals for G4 Smarter (beta) Trading Strategy

Current Risk, G4 10y Futures	G4 Strategy Weight	Trade Longs Portfolio	Fade Shorts Portfolio	Total Risk Trade Longs Only	Total Risk Trade Longs/Fade Shorts (max 200%)	Trade Longs Portfolio Entry Date	Trade Longs Portfolio Exit Date	Fade Shorts Portfolio Entry Date	Fade Shorts Portfolio Exit Date
J8 10y Future	32.50%	100%	100%	100%	200%	9/9/2025	10/17/2025	9/19/2025	10/28/2025
GE 10y Future	29.25%	100%	100%	100%	200%	9/8/2025	10/14/2025	9/15/2025	10/20/2025
US 10y Future	30.50%	0%	100%	0%	100%	-	-	9/24/2025	10/30/2025
UK 10y Future	7.75%	100%	100%	100%	200%	9/10/2025	10/15/2025	9/25/2025	10/30/2025

Source: Morgan Stanley Research

Trading Strategy 1 – "Trade Longs/Fade Shorts"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, buy the futures contract and hold for a 25-business-day period. In short, this strategy buys futures when the Simple Moving Average Crossover (SMAX) generates both a long and a short signal, given the historical outperformance of long signals traded long and the underperformance of short signals traded short. Given that the SMAX could generate both a long and a short signal within the predefined holding period, an investor may have a 200% long position since each of the two signals would be traded in separate portfolio sleeves.

Trading Strategy 2 – Trade "Longs Only"

When the 5-day moving average crosses above the 20-day moving average, buy the futures contract (long duration) and hold for a 25-business-day period. When the 5-day moving average crosses below the 20-day moving average, do nothing. In short, an investor *only* trades long signals initiated by the SMAX given their historical precedent to outperform.

US Holiday Trading Strategy

Currently Active Strategies

None.

Combining the individual trading signals based on 10y Treasury future (TY) price patterns before and after US holidays has generated an annual strategy with no down years since 1987. See [Trading 10y Treasury Futures Around US Holidays](#) for more information.

Using historical data since 1983, we created a trading strategy using 10y Treasury futures (TY) that trades 11 times per year, either long or short, before or after the following US holidays: New Year's Day, Martin Luther King Day, Presidents' Day, Good Friday, Memorial Day, Independence Day, Labor Day, Columbus Day, Thanksgiving, and Christmas. [Exhibit 2](#) displays the trading rules:

Exhibit 2: Trading rules for US holiday trading model using US 10y futures contracts (TY)

Holiday	Day of Week	Direction	Before/After Holiday	Trading Rule (business days, 3pm NY unless specified)	Trade Entry (business days)	Trade Exit (business days)
New Year's Day	Rotates	Long TY	After	Buy TY New Years +1, Sell TY New Years +4	New Year + 1	New Year + 4
Martin Luther King Day 1	Monday	Long TY	Before	Buy TY Tuesday before MLK, Sell Friday before MLK	MLK - 4	MLK - 1
Martin Luther King Day 2	Monday	Short TY	After	Sell TY Tuesday after MLK, Buy Friday after MLK	MLK + 1	MLK + 4
President's Day	Monday	Long TY	After	Buy TY Tuesday after Pres. Day, Sell TY Friday after Pres. Day	Pres. Day + 1	Pres. Day + 4
Good Friday	Friday	Long TY	After	Buy TY Monday after Good Friday, Sell TY Friday after Good Friday	Good Friday + 1	Good Friday + 5
Memorial Day	Monday	Long TY	After	Buy TY Tuesday after Mem. Day, Sell TY Friday after Mem. Day	Mem. Day + 1	Mem. Day + 4
Independence Day (July 4th)	Rotates	Long TY	After	Buy TY Independence Day + 2, Sell TY Independence Day + 4	Ind. Day + 2	Ind. Day + 4
Labor Day	Monday	Long TY	Before	Buy TY Monday before Labor Day, Sell TY Thursday before Labor Day	Labor Day - 4	Labor Day - 2
Columbus Day	Monday	Short TY	Before	Sell TY Monday before Col. Day, Buy TY Thursday before Col. Day	Colum. Day - 5	Colum. Day - 2
Thanksgiving	Thursday	Long TY	Before	Buy TY Friday before Thanksgiving, Sell TY Tuesday before Thanksgiving	Thanksgiving - 4	Thanksgiving - 2
Christmas	Rotates	Short TY	Before	Sell TY Christmas Day - 4, Buy TY Christmas Day - 1	Christmas - 4	Christmas - 1

Source: Morgan Stanley Research. Note: Past performance is no guarantee of future results.

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Underweight/Sell	577	16%	88	10%	15%	234	14%
Total	3,698		853			1719	

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